when they are being undertaken, and demand banks hold adequate risk buffers. The important duty of the regulator is to force timely recognition of NPAs and their disclosure when they happen. Forbearance may be a reasonable but risky regulatory strategy when there is some hope that growth will pick up soon and the system will recover on its own. Everyone – banker, promoter, investors, and government officials – often urge such a strategy because it kicks the problem down the road, hopefully for someone else to deal with. The downside is that when growth does not pick up, the bad loan problem is bigger, and dealing with it is more difficult. It is when the bad loan problem is allowed to accumulate through forbearance or non-recognition that regulators have the difficult task of bringing the system back on track. That is the problem we have had to deal with at the RBI.

As I have shown you, the consequence since early 2014 of the past build-up of stressed loans was a slowdown in public sector bank lending in certain sectors. The cessation of RBI forbearance and the Asset Quality Review in mid 2015 were therefore not responsible for the slowdown. Instead, high distressed exposures in certain sectors were already occupying PSB management attention and holding them back. The only way for them to supply the economy's need for credit, which is essential for higher economic growth, was to clean up and recapitalize.

The silver lining message in the slower credit growth is that banks have not been lending indiscriminately in an attempt to reduce the size of stressed assets in an expanded overall balance sheet, and this bodes well for future slippages. In sum, to the question of what comes first, clean-up or growth, I think the answer is unambiguously 'Clean-up!' Indeed, this is the lesson from every other country that has faced financial stress. It is important, therefore, that the clean-up proceeds